

Palantir Technologies Inc.

PLTR NYSE

Hold	\$166.61 ▲ 0.45%	12M Price Target \$180.00	52-Week Range \$106.37 – \$207.52	Market Cap \$400.37B
------	------------------	------------------------------	--------------------------------------	-------------------------

PLTR: Momentum Cooling but AI/Defense Tailwinds Still Real

WHAT HAPPENED

- Stock is basically flat (+0.45%) after a 4-day slide from \$174 to \$166 — that's about a 4.5% pullback in a week even as the broader Tech sector (+1.39% today) is ripping. When a momentum name lags its own sector on an up day, it usually means the easy money is taking chips off the table.
- Volume today is way lighter (7.6M vs. 20M+ recently) — that's a "nobody's rushing to buy the dip yet" signal. Combined with insider selling clusters (multiple directors dumping shares at \$172-\$182), the smart-money crowd is trimming, not adding.

WHY IT MATTERS

Here's what I think is happening: PLTR ran too far, too fast, and now it's digesting. The Barron's piece today ("Can Palantir move the stock?") captures the vibe perfectly — the business is executing but the stock has already priced in a lot of that. What matters going forward is whether the Trump administration's continued push on defense modernization and the "AI-first government" executive orders actually translate into new contract announcements. If they do, PLTR reaccelerates from here. If Q3 earnings show commercial growth slowing even a tick, this thing could easily retest \$140. The insider selling cluster is the tell — when directors sell into strength, they're not calling a top, but they're saying "this is a fair price, not a steal."

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 defense authorization debate heating up in Congress, which includes expanded funding for AI-enabled battlefield systems and JADC2 (the military's data-integration backbone where PLTR's Maven contract lives). If that funding stays intact through reconciliation, PLTR's government pipeline gets a multi-year runway. Also watch the ongoing Trump executive orders on federal AI adoption — every agency mandate to "modernize with AI" essentially gets funneled to a short list of vendors, and PLTR is at the top of it. The risk on the other side: any bipartisan push for AI safety/procurement rules could slow contract velocity even if it doesn't kill deals.

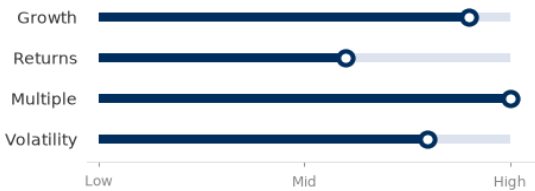
IS IT EXPENSIVE?

This is where you have to hold your nose. PLTR trades at roughly 90x forward revenue — meaning investors are paying \$90 for every \$1 of sales the company will do next year. For context, Snowflake trades around 15x and even Nvidia is closer to 25x. The only way that math works is if Palantir grows 40%+ for the next 5 years AND expands margins dramatically. It's doable, but there's zero cushion if anything slips.

Key Data

Price (USD)	\$166.61
12M Price Target	\$180.00
Upside / (Downside)	+8.0%
Market Cap	\$400.37B
FY2026E Revenue	\$4,350M
FY2027E Revenue	\$5,700M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	268.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$185.00	\$170.00	\$150.00
6 Months	\$210.00	\$175.00	\$135.00
1 Year	\$240.00	\$180.00	\$120.00
2 Years	\$300.00	\$200.00	\$100.00
5 Years	\$450.00	\$260.00	\$90.00
10 Years	\$700.00	\$350.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.39%) and Communication Services (+1.22%) leading — AI infrastructure spending remains the dominant narrative, and every incremental data center/GPU announcement pulls the sector higher.

COOLING OFF: Financials and Consumer Discretionary lagging on 5-day basis (-2.34%, -3.05%) — rate cut expectations getting pushed out and consumer spending signals softening.

ROTATION WATCH: Money is rotating within tech — away from expensive momentum names (like PLTR this week) and into infrastructure/picks-and-shovels plays (Nvidia, cloud providers). That's why PLTR is flat while sector is up.

RELATED PLAY: If federal AI spending accelerates, the beneficiaries beyond PLTR are the cloud providers hosting these workloads (AWS/Azure) and specialized cyber names like CrowdStrike (mentioned in today's IBD piece about fund buying).

WHO'S WINNING IN THIS SPACE?

- CRWD (CrowdStrike): Big institutional buying flagged today — cyber is benefiting from the same "government AI + security" spending wave that helps PLTR.
- SNOW (Snowflake): Their AI tooling story is gaining traction as enterprises deploy production AI workloads — direct read-through for PLTR's commercial AIP business.

PLTR CONTEXT: PLTR is LAGGING its AI peer group this week — down while Tech is up. That's a warning sign short-term (momentum breaking) but also a setup: if it holds \$160-165 and the sector keeps running, it eventually catches up. Watch that \$165 level closely.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the price. Cautiously optimistic, not pounding the table.

POSITION SIZE: 2-3% max. The story is real but the valuation means a 30% drawdown is always one bad quarter away — you don't want this to be your biggest position.

ENTRY POINTS: I'd add on pullbacks to \$140-150 (roughly the 200-day moving average zone). If you're chasing at \$166+, you're paying up.

TIME HORIZON: 12-24 months. Catalyst to wait for: Q3 earnings (early November) and any defense budget resolution in Congress.

WHEN TO BAIL: If commercial revenue growth drops below 40% year-over-year, or if there's a major DoD contract loss, or if the stock breaks \$135 on heavy volume — that's the trend breaking.

HEDGING: Simplest hedge — buy put options 10-15% below current price as insurance. Or trim to lock in gains if you're up big and let the rest ride. Don't try to trade around it — this stock moves too fast.